

Preface to the Second Edition

On 24 March 2000, the financial world changed. No, that was not the date this book first hit the store shelves, but the beginning of a bear market that lasted 2.5 years. Finally, I had bear market data to use for finding chart patterns!

After spending nearly 5 years recovering from the work needed to complete the first edition, I decided to undertake an update. I changed the editorial content of the book in small ways, but made substantial improvements in others. Here is the list of the important changes:

- Bull and bear market statistics for complete coverage.
- Expanded statistics, all in a similar format:

Results Snapshot, at the start of each chapter, shows the most important numbers and surprises.

General statistics, including the average rise or decline, busted pattern performance, and benchmark performance.

Failure rates, a list of ten breakpoints to show how often a pattern fails.

Breakout and post-breakout statistics, showing performance over the yearly price range, pullback rates, and performance after a gap.

Frequency distribution of days to the ultimate high or low, showing when the trend is likely to end.

Size statistics, describing how performance varies for pattern height, width, and combinations of both.

Volume statistics, including volume trend, a new concept I call *volume shapes*, and breakout day volume.

For best performance, a list of trading tips and where to find them in each chapter.